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BMC Business Model Challenge

Introduction

“Business Model Challenge” is an elective course in entrepreneurship. It introduces a framework for developing a new business model for an established company. The framework will be brought to life through team projects (called “challenges”) provided by companies that have a strong need for improving their current business model. That is, in this course you will be given the opportunity to tackle a real-life business model challenge through team-based project work.

Objectives

The course pursues three main objectives. First, it aims to provide you with knowledge, concepts and tools that help you to analyze and develop new, innovative business models. The ideas that form the basis for the course are anchored in my own research and consulting work with firms. The framework that we will use addresses both the content and the process of business model design. It is explained in my book on Business Model Innovation Strategy (Wiley 2021) which serves as the anchor reading for the course. The material to which you will be exposed guides you through the analysis, ideation and development stages of business model innovation; it helps you work through that design process in a structured manner. As a second main objective, the course will give you the opportunity to apply your new knowledge to real-life projects and thereby help you acquire useful hands-on skills in business model analysis and innovation. Third, the course will give you a good sense of what are current cutting-edge business model issues in established firms, and thereby prepare you better for your future job after graduation.

Please note:

- (1) This course is project-focused; it will be conducted in workshop-style. This means that the learning outcome depends on the level and quality of your input. Therefore, you are expected to invest personally substantial time and effort. If you are unsure whether you can afford to do that you should not elect the course
- (2) You will work in teams of 4 or 5 members. Teams will be formed during the course. You will choose in which team and on which project to work.
- (3) The course is distinct from other MBA courses that include project-based components in that (a) it is focused on the business model (and not any other strategy, organization, marketing, or financing issue), (b) it is a full-blown project that runs over a three-month

period, and (c) you will be working in close cooperation with executives from the firm sponsoring your project. This ongoing coordination between you and the sponsoring firm fosters learning, knowledge sharing and guidance—in both directions—to create a superb learning experience for all involved.

- (4) The course complements other MBA courses on innovation, design, and business models; it is not a substitute for them. You will be given the opportunity to apply whatever you are learning in those courses to a highly relevant and current real-world problem, in order to deepen and extend your insights.

Content

Session	Session Title	Session Content	Session Date
1&2	The Power Of New Business Models	Introduction to the course, key concepts & projects	17 September
3&4	Facing The Challenge	Presentation of projects by corporate sponsors	18 September
5&6	Preparing To Address The Challenge	Teambuilding	25 September
7&8	Adopting A Business Model Mindset	Promoting business model thinking and entrepreneurial mindset	1 October
NOTE: From October 1 to November 12 you are expected to conduct extensive field work , including field trips and interviews with key business model stakeholders. In other words, despite the absence of class sessions in that time period, you need to work intensely on your project. You should provision enough time for this.			
9&10	What Is Our Problem?	Formulating a useful problem statement for your project, and preparing the field work	9 October
11&12	Interim Project Review-I	Explaining progress made on the projects and discussing issues	16 October
13&14	Interim Project Review-II	Explaining progress made on the projects and discussing issues	30 October
15&16	What Have We Learned So Far?	Synthesizing insights from the field work	12 November
17&18	Ideating The New Model	Brainstorming ideas for business model innovations & developing a first solution	20 November
19&20	Prototyping And Testing The New Model	Designing prototypes and low-cost field tests and experiments	4 December
21&22	Evaluating The New Model & Key Learnings	Presenting the new business model designs and ideas for implementing them. Project sponsors provide feedback & evaluate solutions. Course participants assess their learnings.	11 December

Evaluation

Course evaluation will be based on individual class & project participation (40%), individual assignments (10%), group assignments (30%) and the final group project deliverable (20%).

Course Outline & Bibliography

TITLE OF SESSION & MATERIAL

Module 1: Foundations For Business Model Innovation	
Sessions 1&2	The Power Of New Business Models
These first two sessions lay the conceptual groundwork for the course. They will address such fundamental questions as: What is a business model? Why is it strategically important? What is business model innovation, and what is it not? <u>Assignment (individual, before class):</u> What makes you interested in business model innovation? What career are you aiming for? Why are you taking this class? Please submit a max. 1 page word document on Virtual Campus by Friday, September 12. Late submissions will not be accepted. <u>Assignment (individual, in-class):</u> Critique of GPT WHWW analysis. Readings: Amit & Zott (2021), Chapters 1 & 4	
Sessions 3&4	Facing The Challenge
In this class our corporate project sponsors will pitch their challenges to you, and you get the opportunity to engage in Q&A with them. <u>Assignment (individual, after class):</u> Consider the business model challenges that have been presented to you: Which one would you like to lead as a “project champion” (i.e. team leader), and why? What makes you a good choice for the position? What can you contribute to your favorite project? Submit a pitch (max. 1 page) along with your CV and upload your application package on Virtual Campus by Friday Sept 19, 11 a.m. Late submissions will not be accepted. (Even if you prefer not to lead a team, you need to submit a pitch to indicate your favorite project. If you would like you could also indicate your second and third choices. If you like two projects equally well you can submit two applications.)	
Sessions 5&6	Preparing To Address The Challenge
In this class we will form teams around the challenges. <u>1st in-class team assignment:</u> e-mail to project sponsor (cc/ to czott@iese.edu)	
Sessions 7&8	Adopting A Business Model Mindset
Developing new, powerful new business models requires a shift in mindset from focusing on products and processes to thinking more broadly and holistically, and adopting a system-level	

perspective. We will learn this by graphically depicting business models as activity systems. This technique will also help you think strategically about business models and assess the impact of the business model on value creation, value capture and competitive advantage.

2nd in-class team assignment: Problem statement

Readings: Inditech (A): Designing a Scalable Business Model; Amit & Zott (2021), Chapters 3 (skim) & 9 (pp. 249-259)

Module 2: Strategic Design And Evaluation Of Business Model Innovation

Sessions 9&10 What Is Our Problem?

This session will introduce you to the basic concepts underlying the business model design process. We will understand the importance of observation for problem formulation, which will be the basis of your project. The purpose of the session is to get ready for the 6 weeks of field work that will follow.

3rd in-class team assignment: Plan & questions for the field work

Readings: Amit & Zott (2021), Chapters 5 (especially pp.134-146), 6 (skim) & 7 (skim)

Sessions 11&12 Interim Project Review - I

Project teams will meet to explain progress made on the projects and to discuss issues that may have arisen during the field work

4th team assignment: Refined problem statement

Sessions 13&14 Interim Project Review - II

Project teams will meet with the course instructor to explain progress made on the projects and to discuss issues that may have arisen during the field work

5th team assignment (due 10.11., 9 a.m.): Main observations, insights & (if applicable) revised problem statement

Sessions 15&16 What Have We Learned So Far?

In this session we seek to distill insights from the fieldwork that has been carried out during the previous weeks. We will ask: What are the main insights and themes that have emerged from the fieldwork? How do they help us to refine the original business model design problem? Is there a need for additional observation? The goal of this session is to arrive at a laser-sharp re-definition of your challenge.

6th team assignment (in-class): Consolidated insights & final problem statement

Sessions 17&18 Ideating The New Model

We will conduct an innovative brainstorming exercise supported with so-called pattern cards to design new, business models that solve the identified problems.

7th team assignment (in-class): Press release

Readings: Amit & Zott (2021), Chapters 6 & 7	
Module 3: Making Business Model Innovation Happen	
Sessions 19&20	Prototyping And Testing The New Model
This session will introduce you to relevant methods and criteria for evaluating various business model designs. Your team will be asked to evaluate its solutions and refine it. We will also discuss techniques for prototyping the business model, and ideas for designing a low-cost experiment to test the prototype. <u>8th team assignment (in-class):</u> Test-assumption matrix, business model prototype	
Sessions 21&22	Evaluating The New Model & Key Learnings
You will be given the opportunity to present the results of your work to your project sponsors, who will evaluate your solution proposal. You will also evaluate your own learnings from the project and from the course. Reading: Amit & Zott (2021), Chapter 12	

Bibliography

Amit, R., and Zott, C. 2021. Business Model Innovation Strategy, Wiley & Sons.

Professor's Biography



Prof. Christoph Zott
Professor of Entrepreneurship

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Christoph Zott is Full Professor in the Entrepreneurship Department at IESE based in Barcelona / Spain. Before joining IESE he was a tenured Professor of Entrepreneurship at INSEAD in Fontainebleau / France. Prof. Zott has worked and lived in Germany, U.S., Canada, France and Spain. He founded a consulting company and mentors entrepreneurs all over the world. He is passionate about helping people and companies to realize their dream to “create something from nothing.”

Prof. Zott teaches courses on entrepreneurship and business model innovation in all IESE programs. He advises startups, high-growth firms, social ventures as well as large established firms interested in business model innovation and entrepreneurial change. His advisory work and teaching are anchored in his own research. Prof. Zott has written over 50 articles and published them in top journals and books. His research has been featured in The Economist, Forbes and in The Wall Street Journal.

In addition to being an experienced teacher, consultant, mentor, and researcher, Prof. Zott has served in various professional leadership roles. For example, he served as the Editor of the Strategic Entrepreneurship Journal, the leading international journal on entrepreneurship. In addition, Prof. Zott was elected as the Chair of the Strategic Management Division of the Academy of Management, the world's largest organization of management scholars. He currently serves as Innovation Expert for the World Economic Forum, and as an elected Fellow of the Strategic Management Society, an honor shared with about 80 colleagues around the world.

Additional Information for Reporting and Accreditation purposes

Learning Outcomes

- Learn the key concepts that enable you to analyze and design new business models, and apply them to real-world cases
- Identify and evaluate opportunities for creating and capturing value through the design of the business model
- Understand the value drivers of business models, and how they contribute to the firm's value proposition
- Learn and apply techniques for generating and evaluating new business models
- Learn and apply design thinking to develop business model innovations
- Develop your ideas into full-fledged concepts that are ready for testing and implementation

Sustainable Development Goals (SDG)

Choose the ones that are addressed directly or indirectly in your course among the ones below.

For official reporting purposes, we are required to state below the Sustainable Development Goals (SDGs) discussed in this course. This list is not intended to serve as an illustration of how to approach sustainability issues. We acknowledge that there might be other relevant topics on sustainability not included in the SDGs that might also be addressed in class.

SDG 9 – Industry Innovation and Infrastructure

SDG 17 – Partnerships for the Goals